

TECHNICAL DEEP DIVE

The Agentic Frontier: LLM Advertising and the New Role of Media Buying

From manual bidding to
autonomous agents

Research synthesis from industry sources

August 2026

STACK

Brands & agencies



Buyer agents



MCP · AdCP · AAMP



Conversational surfaces

Executive Summary

01

Targeting is migrating from discrete **lexical matching** to **inferred conversational intent**, evaluated across an entire dialogue session rather than a single query.

[S1, S3]

03

Interoperability rests on a layered standards stack: **MCP** as transport, **AdCP** as deal semantics, **AAMP** as the governance and identity regime. [S1, S2]

02

Execution is distributed across three actor classes — **advertisers, agencies**, and the **autonomous agents** operating within human-specified constraint sets. [S1]

04

The unresolved problems are **verifiability, disclosure, and attribution**; fiduciary accountability remains with the advertiser irrespective of which entity executes the transaction. [S1, S2]

Two Supply Chains

TRADITIONAL PROGRAMMATIC

Brand

Media agency

DSP / ad exchange

Publisher — search, social, display

Human-executed. Optimized after demand appears, on weekly reporting cycles. [S2]

AGENTIC

Brand or in-house team

Buyer agent

MCP · AdCP · AAMP

LLM surface — ChatGPT, Google AI Mode

Agent-executed. Continuous pacing, peer-to-peer deals that bypass middlemen. [S1, S2]

Primary Actors

Brand layer	In-house teams and SMEs buying direct	Holds strategic and compliance accountability. Uses self-serve tools — OpenAI's Ads Manager, Shopify Autopilot — to run campaigns without an intermediary. [S1]
Agency layer	Holding networks and AI-native boutiques	Omnicom (Omni) and WPP Media (WPP Open) run proprietary AI operating systems; boutiques such as Busylike and Avenue Z specialize in GEO and AEO. [S1]
Platform layer	AdTech, LLM providers, standards bodies	Adform opens its full stack to agents; OpenAI and Google own the surfaces; IAB Tech Lab writes the protocols everyone transacts on. [S1, S2]
Execution	Autonomous agents	Ryze AI, Hawky and Synter Media adjust bids, reallocate budget and pause fatigued creative continuously inside human-defined guardrails. [S1]

The Evolving Agency Role

WAS

Executor

Channel planning, manual bidding, creative adaptation, weekly reporting.

IS

Supervisor

Strategic oversight, agent management, guardrail definition, performance interrogation.

BECOMES

Orchestrator

System design, proprietary agent platforms, outcome architecture and consulting.

Omnicom executes live buys for global clients through an agent-to-agent framework that shortens the supply chain and bypasses traditional ad-tech fees; WPP Media runs the equivalent play through WPP Open. [S1]

Platforms Open Their Stacks

Adform: the MCP gateway

Adform exposes its DSP, DMP, ad server and identity layer through a Model Context Protocol server, so third-party agents connect to the platform core instead of clicking through a UI. [S2]

Natural-language prompts then drive omnichannel planning, forecasting, in-flight budget optimization and billing reconciliation end to end. [S2]

AGENT → PLATFORM

One agent operates a vendor's stack through an exposed tool interface. Vendor keeps the auction.

AGENT → AGENT

Buyer and seller agents negotiate terms directly over AdCP, removing intermediary hops entirely.

Other named entrants — Yahoo DSP Agent Network, MiQ Sigma — need a primary source before they go on stage.

Google AI Overviews vs. ChatGPT Ads

DIMENSION	Google AI Overviews	ChatGPT
Buying	No direct buy, no opt-out. Inventory reached via PMax, AI Max for Search or Broad Match.	Self-serve Ads Manager at ads.openai.com. Application needs EIN; ~72h approval.
Pricing	Inherits the parent search or shopping campaign's bidding.	CPC or CPM by objective. No US minimum spend since the \$50k floor was removed.
Formats	Text and Shopping ads above, below or inside the summary; inline carousels.	Branded cards, sponsored prompts, dynamic CTA buttons.
Feed	Merchant Center feed with valid GTINs.	Agentic Commerce Protocol, or Shopify Agentic Storefronts.
Reach	English only; US, UK, AU, CA, IN, SG.	Free and Go tiers, 18+, in US, UK, JP, KR.

How a Conversational Buy Executes

01

User prompts the assistant — "find a plumber in Brooklyn".

02

The model reads commercial intent from the session, not a keyword.

03

A seller agent representing the surface's inventory opens the transaction.

04

The buyer agent evaluates hundreds of inventory options and bids over MCP and AdCP.

05

Terms agreed, the ad renders natively as an interactive recommendation in the answer.

06

Interaction is logged back to the buyer agent, which repaces budget in flight.

The Protocol Stack

MCP	Transport	Anthropic's open-source layer letting assistants reach external data and tools securely. [S1]
AdCP	Semantics	Built on MCP, governed by AgentAdAdvertising.org. Translates buyer intent into peer-to-peer DEAL negotiations with seller agents. [S1]
AAMP	Governance	IAB Tech Lab's framework agentifying OpenRTB, AdCOM and OpenDirect so agents transact with deterministic accuracy. [S1, S2]

Inside AAMP

ARTF

Control plane for safe bidding logic inside real-time containers; 80–90% latency reduction.

Buyer & Seller SDKs

Production-ready baselines for multi-seller discovery, price negotiation and transaction state.

Transparency Framework

Risk-based disclosure from January 2026: consumer labels and signed C2PA metadata when AI materially alters realism.

Agentic Audiences

LiveRamp's User Context Protocol: intent exchanged as 256–1024 dimension vector embeddings, no user-level sync.

Agentic Mobile & CoMP

App mediation and yield testing; publishers declare machine-readable usage rights and bot policy.

Agent Registry

Verified identity for agents transacting on the network — the basis for auditability.

Keywords Give Way to Intent

WAS

Exact, phrase and broad match against a discrete query.
Structure lives in the keyword taxonomy.

Placement is a rank position on a results page.

IS

Broad, intent-based targeting read from the conversation.
Custom email lists need a 25,000-user minimum match to target an ICP inside ChatGPT. [S3]

Google decides placement algorithmically — above, below or inside the summary — and sensitive verticals are excluded outright. [S3]

Excluded from AI Overviews: alcohol, adult, gambling, finance, healthcare, politics. [S3]

Pricing Models

CPC

The Clicks objective in OpenAI's Ads Manager. Primary model for ChatGPT today.

No US minimum spend on ChatGPT since the \$50,000 threshold was dropped for the self-serve model. [S3]

CPM

The Reach objective; also how Perplexity sells sponsored follow-up questions on a premium direct basis.

CPA

Not offered on either surface at time of writing. Outcome pricing remains an agency-side construct.

Benchmark CPCs and CPMs — including any "AI tax" claim — are not in the source set. Treat as a pilot output, not an input.

Measurement Moves Downstream

ON-PLATFORM METRICS

Impressions · clicks · CTR · CPC

Legacy agencies still evaluate campaigns here. [S2]

OUTCOME ARCHITECTURE

Business outcomes · pipeline value · citation frequency

AI-native shops anchor to downstream value and to how often the brand is cited inside generated answers. [S2]

Attribution across multi-turn conversations

Handoff tracking from answer to landing page

Privacy-safe signals via embeddings, not identifiers

What the Agents Actually Do

Plan

Ingest the natural-language brief, structure campaigns, distribute budget.

Negotiate

Evaluate hundreds of inventory options and agree terms with seller agents.

Execute

Bid and pace 24/7, routing budget across channels in flight.

Optimize

Pause fatigued creative and spin programmatic variants, localized and compliance-tested.

Ryze AI, Hawky and Synter Media run this loop continuously inside human-defined guardrails; the operator's job is setting the boundary, not pressing the button. [S1]

Trust and Transparency

RISK	MITIGATION
Unverified action. An agent acts on a false or stale signal.	Agent Registry — verified identity for every transacting agent.
Budget blowout. Autonomous bidding outruns the plan.	Pre-approved caps, brand safety lists, human-defined pacing guardrails.
Opaque decisions. No visibility into why an agent bought what it bought.	Deterministic protocol semantics plus transaction state logging in the SDKs.
Misleading creative. Synthetic voices, digital twins, altered realism.	Consumer-facing AI labels and signed C2PA metadata under the January 2026 framework.

Market Signals Awaiting Sources

These claims appear in the brief but are not supported by the three research documents behind this deck. Each needs a primary citation before it is presented externally.

Cannes Lions 2026 as the venue where agentic advertising broke through

Sector CPM benchmarks and the "AI tax" cost-inflation claim

Yahoo DSP Agent Network and MiQ Sigma capability details

2,000+ brands live on ChatGPT ads via a resale partner

Named in-housing early adopters and their agent deployments

Publicis Marcel's role in agentic buying, if any

Adform's MCP Gateway

> Build a campaign targeting tech enthusiasts in NYC with a \$10K budget, pace it evenly, and reconcile billing weekly.

WHAT

DSP, DMP, ad server and Identity Fusion exposed through one MCP server.

HOW

Third-party agents connect to the platform core directly instead of driving a rigid interface.

SCOPE

Omnichannel planning, forecasting, in-flight optimization, billing reconciliation.

In-Housing Pressure on the Fee Base

THE PRESSURE

SMEs already run conversational campaigns through self-serve tools and API integrations with no agency in the loop. [S1]

When execution is a prompt, billable execution hours stop being a defensible product.

THE RESPONSE

Build proprietary platforms — the Omni and WPP Open pattern — and sell orchestration rather than operation. [S1]

Move fees toward outcomes and pipeline value, matching the metrics AI-native shops already contract on. [S2]

Key Takeaways

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- 01 LLM advertising constitutes a discrete channel with its own transactional infrastructure, not an incremental placement within search inventory.
 - 02 Agency value migrates from transaction execution to the design and supervision of the systems that execute transactions.
 - 03 AdTech vendors are exposing platform primitives to autonomous clients; MCP accessibility is emerging as a procurement criterion.
 - 04 Standards development at the IAB Tech Lab will determine whether agentic transactions are auditable or epistemically opaque.
 - 05 With no US spend floor on ChatGPT's self-serve model, the binding constraint on experimentation is organizational capability rather than budget.
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Recommendations

BRANDS

Run a bounded ChatGPT test — no spend floor to clear.

Get the product feed ACP- or GTIN-ready before anything else.

Write the guardrails — caps, exclusions, escalation — before granting an agent authority.

AGENCIES

Stand up an orchestration practice: GEO, AEO and agent supervision.

Retrain traders as guardrail authors and outcome analysts.

Reprice from execution hours to pipeline and citation outcomes.

ADTECH

Ship MCP and AdCP interfaces; treat the UI as the fallback.

Adopt the AAMP SDKs so transaction state is auditable by default.

Implement the disclosure framework ahead of enforcement, not after.

Sources

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- S1 The Ecosystem and Orchestration of LLM Advertising — buyer types, four-layer architecture, MCP / AdCP / AAMP, surface-by-surface ad formats.
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- S2 The Architecture of Agentic Advertising and AI-Native Media Orchestration — traditional vs AI-native agency model, Adform MCP gateway, IAB Tech Lab AAMP components.
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- S3 Ad Placement Strategies for Google AI and ChatGPT — buying methods, pricing objectives, eligibility, feed requirements, geographic reach.

Each source carries its own numbered footnotes to primary trade and vendor material; those numbers are preserved in the underlying documents.

CREDITS

This strategic analysis was curated and prompts-engineered by Hande Gabrali-Knobloch, Powered by Claude design, based on the provided texts.